

FEDERAL MARITIME COMMISSION

CERTIFIT, INC.,

Complainant,

-against-

EVERGREEN SHIPPING AGENCY
(AMERICA) CORP., AS AGENT FOR
EVERGREEN LINE, EVERGREEN GROUP
d/b/a EVERGREEN LINE,

Respondent.

Docket No. 23-03

**RESPONDENT'S PROPOSED
FINDINGS OF FACT**

Pursuant to the Scheduling Order dated July 21, 2023, Respondent, EVERGREEN SHIPPING AGENCY (AMERICA) CORP. ("EGA"), AS AGENT FOR EVERGREEN LINE, EVERGREEN GROUP d/b/a EVERGREEN LINE ("EVERGREEN"), by its attorneys, Mahoney & Keane, LLP, propounds the following Proposed Findings of Fact:

1. At all pertinent times, EGA was and is an agent, and agent only, acting within the scope of its agency for the identified Carrier, Evergreen Line A Joint Service Agreement (FMC#01 1982) consisting of 1) Evergreen Marine Corp. (Taiwan) Ltd' 2) Evergreen Marine (UK) Limited 3) Italia Marittima SPA 4) Evergreen Marine (Hong Kong) Ltd. 5) Evergreen Marine (Singapore) Pte. Ltd. (Service Contract, Exhibit A), as well as Evergreen Marine (Asia) Pte. Ltd. See, Bennett Declaration (citing other Appendix Documents), RX1-8, at ¶ 3.

2. EGA is not a common carrier, ocean transportation intermediary, or terminal operator. Nor does EGA hold itself out as such, take responsibility for cargo transportation or storage, or make use of ocean-going vessels. Id. at ¶ 4.

3. Moreover, EGA's status "As Agent" for EVERGREEN was expressly disclosed in the subject Service Contract, the Bills of Lading, all of the correspondence, and the EGA's website cited by the Complainant, CERTIFIT INC. ("CERTIFIT"). Id. at ¶ 5.

4. The Service Contract at issue covered the period from April 27, 2020 to April 30, 2021 and called for a Minimum Quantity Commitment ("MQC") of 1,000 TEU's. Id. at ¶ 6.

5. Given the uncertainties in the trade, and as a key factor impacting the applicable rates, the parties to the Service Contract agreed in advance to avail themselves only of particular remedies in the event any failure to meet Minimum Quantity Commitment ("MQC"). Id. at ¶ 7. It took particular pains to memorialize that, "[t]he Carrier and Merchant agree that in light of the fact that the volume and timing of cargo tendered hereunder for particular sailings is in the control of the Merchant, who cannot specify with certainty the amount of cargo which it will tender on any given date, and by virtue of the fact that the Carrier has a finite amount of space on its vessels in which to carry the Merchant's cargo as well as cargo carried pursuant to Service Contracts entered into with other Merchants in the trade, some flexibility is needed by the Carrier with respect to its service commitment to the Merchant hereunder." Id.

6. CERTIFIT's could thus elect to have EVERGREEN "subtract the quantity of cargo tendered but not carried on Carrier's vessel from the Minimum Quantity Commitment." Id. at ¶ 8. Otherwise, EVERGREEN might be entitled to liquidated damages for any shortfall on the part of CERTIFIT. Id. at ¶ 9 (As discussed below, for this reason EVERGREEN offered to amend the Service Contract to reduce the MQC, since the shortfall arose solely due to the supply-chain disruptions caused by the COVID-19 Pandemic. This second Amendment had nothing to do with the earlier Amendment offered to add a port, without a reduction in the MQC, in the hope that more CERTIFT cargo might be booked).

7. The Service Contract provided:

If the Carrier fails to fulfill its Service Commitment in Article 3 hereof during the Contract term, the Merchant's remedy shall be either (1) reduction of the Minimum Quantity Commitment by the quantity of cargo tendered but not carried as provided in subparagraph 3.2.1 or, (2) the extension of the Contract term as specified in Clause 3.2.2. The Carrier shall not be liable to the Merchant for any direct, consequential or other damages under this Contract, except as set forth in Article 3, nor shall any liabilities or obligations of the Merchant to the Carrier be subject to any offset or credit by virtue of any monies which the Merchant may claim are due him under this Contract or otherwise.

Id. at ¶ 10.

8. With no complaint from EVERGREEN, for the first months of the contract period, CERTIFIT was not on pace to meet MQC, even though EVERGREEN could have accommodated its shipments, CERTIFIT conceding, “[m]any of our suppliers closed or reduced production earlier this year due to the pandemic, which put us behind our usual pace of shipment.” Id. at ¶ 11.

9. But by mid-August of 2020, CERTIFIT advised that “now most are back on line, and we have been tendering containers in increasingly higher numbers,” and CERIFIT began complaining of insufficient space. Id. at ¶ 12.

10. In each instance, timely EGA responded that the incapacity was due to the unique effects of the COVID-19 pandemic on supply-chain, reasons beyond EVERGREEN’s control, and that EVERGREEN was nonetheless not seeking any rate increase. Id. at ¶ 13.

11. Indeed, and also as widely reported elsewhere at the time, the Federal Maritime Commission has itself since found that the pandemic resulted in “extreme supply chain port and marine terminal congestion” during this period, including, inter alia, “an unexpected and unprecedented surge in consumer spending, particularly in the United States, and supply chain congestion,” which was “the product of the market forces of supply and demand,” rather than any alleged collusive behavior or price-gouging. Id. at ¶ 14.

12. The evidence of the impact of the pandemic on virtually all commerce can be seen in CERTIFIT's own correspondence, wherein it admitted it was unable to ship cargo during the early months of the pandemic. Id. at ¶ 15. As FFno29 recounts, the impact of the pandemic affected different elements of the supply chain in different ways at different times. Its effects grew on carriers, while some manufacturers, such as CERTIFIT, suffered its ramifications at an earlier stage. Id. But just as CERTIFIT was unable to perform its obligations in the early part of the pandemic, EVERGREEN was overcome by supply-chain failures later in the pandemic. Id.

13. In an effort to assist, on or about January 8, 2021, Amendment SC82616-1 was offered to CERTIFIT. Id. at ¶ 16. Contrary to CERTIFIT's patent misstatement of fact, the 1000 TEU MQC would have remained unchanged. Id. Due to persistent equipment shortages at Keelung/Taoyun, it was thought Taipei might be added (at the same rate), so that more CERTIFIT cargo might be booked. Id. It was just an attempt to address the problem of insufficient booking from Kaohsiung, since the approval of the Taipei port would have allowed for more bookings. Id. Certainly, neither EGA nor EVERGREEN ever tried to coerce CERTIFIT to sign the Amendment by threatening to withhold space, charge a higher rate, or in any other manner. Id. To be sure, the text of the Amendment and the correspondence associated with it confirm that no such conduct on the part of EGA or EVERGREEN ever occurred. Id.

14. In any event, CERTIFIT never signed the Amendment, so the situation remained unchanged. Id. at ¶ 17.

15. Months later, on or about April 28, 2021, EVERGREEN then separately offered to renegotiate the Service Contract so that CERTIFIT might avoid liquidated damages for its MQC shortfall. Id. at ¶ 18. Amendment SC82616-1 (T) would have thus reduced the TEU's from 1000 to 25. Id. It did not, as CERTIFIT falsely asserts, change any of the ports. Id. Again, this is readily confirmed by examination of the document itself. Id. CERTIFIT has thus conflated the two separate and discrete

amendments. While EVERGREEN went on to carry 365 TEUs, not merely 25, this second Amendment was designed not to benefit EVERGREEN but solely to avoid penalty to CERTIFIT as a result of the shortfall. Id.

16. Rather than show any improper activity on the part of EGA or EVERGREEN, the two proposed Amendments, when not misleadingly combined into one and twisted by CERTIFIT, demonstrate precisely the opposite: perfectly innocent and routine good faith efforts to try to assist, without raising rates or exposing CERTIFIT to liquidated damages, all in full accordance with the above-cited Service Contract provisions. Id. at ¶ 19.

17. In any event, CERTIFIT again declined the offer and instead sought to extend the contract by an additional number of sailings so as to satisfy the MQC requirement. Id. at ¶ 20.

18. However, in further correspondence and a telephone conference with CERTIFIT's counsel, the continuing supply-chain difficulties were explained and discussed, and potential avenues to resolve the situation were solicited. Id. at ¶ 21.

19. On or about May 26, 2021, CERTIFIT presented an offer of compromise, whereby capacity for at least 27 TEU's per week would be provided at a higher rate. Id. at ¶ 22.

20. On or about June 3, 2021, EGA presented EVERGREEN's counter-offer. Id. at ¶ 23. Notably, in light of the conditions still prevailing, EVERGREEN could only agree to 647 TEU's over 12 months, though warning that even that might be undermined by a continuation of the unforeseen market-driven forces. Id.

21. On or about June 10, 2021, CERTIFIT responded that it was "willing to accept Evergreen's compromise," and just had some questions. Id. at ¶ 24. On or about June 21, 2021, EGA answered those questions and again confirmed, inter alia, that EVERGREEN was not seeking any rate

increase and would continue to exercise its best efforts to meet CERTIFIT's requirements, but, given the ongoing supply-chain disruptions, could not absolutely guarantee the space would be available. Id.

22. However, no reply was received and, rather than go forward with the compromise, the instant Complaint followed. Id. at ¶ 25.

23. EGA notes that CERTIFIT has not really proved that it could have met MQC. Id. at ¶ 26.

24. But regardless, as indicated above, at no time did EGA or EVERGREEN ever act in bad faith or decline to negotiate with CERTIFIT. EGA and EVERGREEN attempted throughout to find solutions to possibly minimize the impact of the supply-chain disruption upon CERTIFIT, all in complete compliance with the above-cited terms of the Service Contract. Id. at ¶ 27.

25. At no point did EGA or EVERGREEN withhold services to try to secure higher rates. Id. at ¶ 28. Indeed, CERTIFIT's bookings continued throughout, and the only rate increase apparent from the documents provided by CERTIFIT's was the general rate increase (GRI) bulletin email sent in October of 2020 to all customers every month. Id. However, that bulletin had no bearing on the Service Contract at issue, and no rate increase applied to CERTIFIT. Id. The simple facts, confirmed by the documentary record, are that space for CERTIFIT's cargoes was never purposefully withheld, and CERTIFIT was never asked to increase its contract rate. EGA notes that CERTIFIT has presented no evidence of such conduct on the part of EGA or EVERGREEN, accordingly. Id.

26. And at no point did EGA or EVERGREEN favor other shippers or sell CERTIFIT's space on the spot market. Id. at ¶ 29. Not only has CERTIFIT, again, presented no colorable evidence to show otherwise, but such allegations are categorically denied and demonstrably false. Id. Of the 133 total NVO house bills of lading disclosed by CERTIFIT, 30 bills of lading (covering 31 Containers) show carriage by EVERGREEN vessels. Id. However, all of them were under Ocean Alliance partners contracts (CMA/COSCO). Id. None of them were under EVERGREEN contract. Id.

27. The space contractually required to be allotted by a carrier to an Alliance partner is outside the control of the provider, which does not act as the “common carrier” nor issue bills of lading for such space. Id. at ¶ 30. Here, the space provided for CERTIFIT cargoes on EVERGREEN vessels was all afforded under bills of lading issued by other common carriers which had complete discretion over the space used. Id. The space was thus not for EVERGREEN to use and sell at its whim. So CERTIFIT’s argument that these documents suggest some sort of nefarious conduct or profiteering at CERTIFIT’s expense is wholly misplaced and demonstrates a fundamental misunderstanding of the trade, if not a rather sorry attempt to mislead this tribunal. Id.

Dated: New York, New York
January 8, 2023

Respectfully submitted,

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